

Revolving Line of Credit Agreement - Executed 2023

Acme Bank and Harborview Logistics | Loan LN-2023-0311 | Executed September 15, 2023 | LOS-2023-Harborview

THIS LOAN AGREEMENT was made on September 15, 2023 BETWEEN Acme Bank, 200 Commerce Street, Suite 900, Boston, Massachusetts 02109 (the **Bank**) and Harborview Logistics (the **Borrower**). This Agreement was executed by the parties and is in full force and effect.

Drafted on the Bank's standard form. The departures from the standard form at Sections 8.1, 8.2 and 9.3 and at Schedule A were agreed with Credit Risk during negotiation and are recorded in Schedule 1.

1. PARTIES

Lender: Acme Bank. Borrower: Harborview Logistics. Guarantors: Jordan Pike and Renata Voss, jointly and severally, under unlimited personal guaranties.

2. LOAN AMOUNT AND PURPOSE

2.1 A revolving line of credit in the principal amount of \$1,500,000 (the **Loan**).

3. INTEREST RATE

3.1 Variable at SOFR plus 2.75%, 7.25% per annum at closing, with a floor of 6.50%.

4. TERM, AMORTIZATION AND MATURITY

4.1 Term: 36 months from closing. 4.2 Maturity date: September 30, 2026, on which all outstanding principal and accrued interest is due.

5. COLLATERAL AND SECURITY

5.1 A first-priority security interest in the Collateral described in Schedule A. 5.2 The value of the Collateral for the purposes of Section 8.1 was established at \$2,150,000 by a valuation ordered by the Bank.

6. GUARANTY

6.1 Unlimited personal guaranty from each owner of twenty percent or more of the Borrower.

7. CONDITIONS PRECEDENT

Satisfied at closing; evidence retained in the Bank's loan file.

8. FINANCIAL COVENANTS

8.1 Loan-to-Value. The outstanding principal balance of the Loan did not at any time exceed 70% of the appraised value of the Collateral, as determined under Schedule A and by an appraisal ordered by the Bank.

8.2 Debt Service Coverage. Borrower maintained a Debt Service Coverage Ratio of not less than 1.30x, calculated and tested in the manner set out in Section 9.3.

9. REPORTING AND INSPECTION

9.1 Notices. Borrower gave the Bank prompt written notice of any Event of Default, any material litigation, and any change in ownership of more than ten percent.

9.2 Inspection. The Bank was entitled to inspect the Collateral and Borrower's books and records on reasonable notice during business hours.

9.3 Financial Reporting. Borrower delivered annual reviewed financial statements within 120 days after each fiscal year end and quarterly financial statements within 45 days after each fiscal quarter end, each accompanied by a compliance certificate calculating the Debt Service Coverage Ratio for the trailing twelve months. **As amended**, the Debt Service Coverage Ratio was tested quarterly on the basis of each compliance certificate against the 1.30x threshold in Schedule 1.

10. EVENTS OF DEFAULT

Non-payment, breach of a covenant in Section 8 or 9 not cured within thirty days, misrepresentation, cross-default to other indebtedness of the Borrower or a Guarantor to the Bank, and insolvency.

11. FEES AND EXPENSES

Origination fee of 0.50% of the Loan amount, paid at closing.

12. GOVERNING LAW

The Commonwealth of Massachusetts.

SCHEDULE A - COLLATERAL

A first-priority security interest in all present and future accounts receivable of the Borrower, the proceeds thereof, and the deposit accounts into which they are collected. Advances are limited to a borrowing base of eligible receivables; the collateral value for the purposes of Section 8.1 was established at \$2,150,000 by a field examination ordered by the Bank.

Furniture, trade fixtures, office equipment, and inventory are excluded from the Collateral and from the collateral value used for the purposes of Section 8.1.

SCHEDULE 1 - NEGOTIATED COVENANTS

The following departures from the Bank's standard form were agreed by Credit Risk and applied to the executed text above.

Section	Standard form	As executed
8.1 Loan-to-Value	Not to exceed 75% of appraised value	Not to exceed 70% of appraised value
8.2 Debt Service Coverage	Not less than 1.25x	Not less than 1.30x
9.3 Financial Reporting	Quarterly compliance certificate; tested quarterly	Quarterly compliance certificate; tested quarterly on trailing twelve months (confirmed)
Schedule A	Personal property excluded from collateral value	Personal property excluded (confirmed)

COVENANT COMPLIANCE AT CLOSING

Measure	Covenant	At closing
Loan-to-Value	70%	70%
Debt Service Coverage Ratio	1.30x	1.34x

SIGNATURES

Executed by the parties on September 15, 2023.

ACME BANK	HARBORVIEW LOGISTICS
By: /s/ Priya Shah	By: /s/ Jordan Pike
Name: Priya Shah	Name: Jordan Pike
Title: Chief Credit Officer	Title: Chief Financial Officer
Date: September 15, 2023	Date: September 15, 2023

This synthetic executed loan agreement is designed for loan origination demonstrations. Names, addresses, amounts, and terms are fictional and are not financial or legal advice.